Q3 2025

Custom Managed Portfolios

Aviso 5-year Bond Ladder (Income)

Quick facts

Asset class:
Canadian Bonds

Management style:
Income[1]

Number of holdings:
10

Portfolio manager:
Aviso Wealth

Minimum investment:
$100,000

Inception Date:
01-Nov-2023

What does the strategy invest in?

This strategy will invest in high quality bonds, with a focus on capital preservation. The portfolio will consist of ten bonds, diversified across Federal, Provincial, and Corporate segments of the Canadian bond market, with a systematic maturity profile on an approximate six month rolling ladder. As holdings mature, the proceeds are reinvested into longer duration assets.

Bond ladders are a proven fixed income investment strategy that can reduce the impact of interest rate changes and minimize reinvestment risk to support a more predictable portfolio return profile. When interest rates rise, investors can take advantage of the higher rate by reinvesting the proceeds of the last matured bond. On the other hand, should rates fall, a large portion of the portfolio can still benefit from the original (higher) rates that applied when the initial investment was made. Staying disciplined and reinvesting the proceeds from maturing bonds can help investors to ride out interest rate fluctuations.

The **Income** bond ladder strategy will optimize income generation by prioritizing investments in bond issues that are trading close to, at, or ideally above par value where possible. This will provide investors with a more material income stream reflected through higher coupon payments. This strategy is better suited towards registered accounts as coupon payments are fully taxable.

Current holdings

1.	CDA GOVT 4.5% 01NOV2025	9.8%
2.	ONT PROV 8% 02JUN26	9.8%
3.	RBC SR 5.235% 02NOV26	9.8%
4.	ONT PROV 7.6% 02JUN27	9.8%
5.	CDA HSG TR SR 3.6% 15DEC2027	9.8%
6.	CDA HSG TR SR 3.95% 15JUN2028	9.8%
7.	TD BK 4.68% 08JAN2029	9.8%
8.	CDA GOVT 5.75% 01JUN29	9.8%
9.	QUE PROV 6% 01OCT29	9.8%
10.	HYDRO ONE INC 7.35% 03JUN30	9.8%

Portfolio attributes

Average yield to maturity (YTM)	Maturity weighted YTM	Average Current Yield (CY)	Maturity weighted CY	Average credit rating	Modified duration
2.7%	2.9%	5.3%	5.2%	AA-	2.19

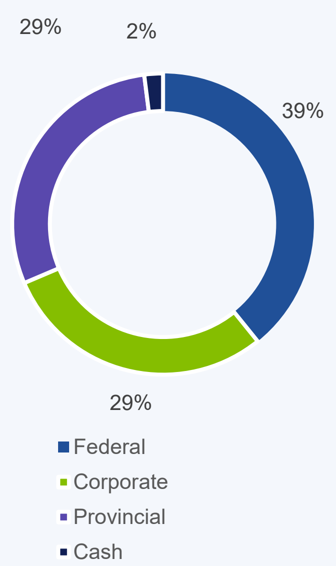
Target allocations

Asset class	Min	Target	Max
Federal Bonds	30%	39%	50%
Provincial Bonds	20%	29.5%	40%
Corporate Bonds	20%	29.5%	40%
Cash & cash equivalents	0%	2%	30%

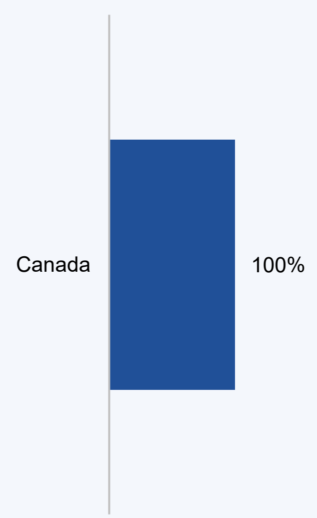
■ Target

Q3 2025

Sector breakdown



Geographic allocation



Quarterly commentary

Global Markets
Global equity markets advanced 7.62% over the quarter (MSCI All-Country World Index), while global markets excluding the U.S. gained 6.89% (MSCI ACWI ex-US). The rally reflected easing trade tensions, optimism over technological innovation, and expectations that major central banks would begin loosening policy. The U.S. Federal Reserve delivered its first rate cut of the year in September, which supported global valuations. Improving sentiment and ongoing enthusiasm around artificial intelligence (AI) further boosted equities to new highs despite lingering inflation risks.
Broad Markets
Canada was the best-performing equity market globally, with the S&P/TSX Composite Total Return Index up 12.50%, while the MSCI EAFE Index was the weakest, returning 4.77%. Canada's outperformance stemmed from its heavy resource and financial exposure—both of which surged as gold and base metals rallied and financial conditions stabilized. The Materials sector climbed over 37%, driven by record gold prices. Conversely, Europe and Asia lagged amid sluggish growth. Germany's market fell into negative territory, pulling down the MSCI Europe ex-UK Index to +2.8% and weighing on international performance overall.
Broad Markets (CAD)
In Canadian dollar terms, returns were lifted by currency movements. The MSCI Emerging Markets Index (CAD) returned 13.05%, while the MSCI EAFE Index (CAD) gained 7.04%. The weaker Canadian dollar—down roughly 2.3% against the U.S. dollar—boosted foreign equity returns for Canadian investors. Emerging Asia's tech-led rebound translated into double-digit CAD gains, while Europe's modest performance improved to just over 7%. Currency effects enhanced global portfolio results even as Canadian equities led in local terms.

Canadian Markets
The S&P/TSX Composite Index advanced 12.50% in Q3. Small-cap stocks outperformed sharply, with the S&P/TSX SmallCap Index up 20.86%, versus the S&P/TSX 60's 11.52% gain. The rally reflected renewed investor risk appetite and cyclical strength. Junior mining and energy firms led advances alongside rising commodity prices, while larger banks and telecoms posted more moderate gains. Canada's market benefited from its sector composition—resources and financials—which aligned with the quarter's themes of reflation and risk-on sentiment.
TSX Sectors
Top-performing sectors were Materials, Information Technology, and Energy.
- Materials surged on record gold prices, with miners like Barrick Gold up over 60%.
- Information Technology climbed more than 13%, led by Shopify's 30% advance on strong merchant growth.
- Energy rose about 11%, supported by mid-quarter oil strength and resilient demand expectations.

The weakest sectors were Consumer Discretionary, Consumer Staples, and Industrials, all posting low single-digit returns. Consumer names faced headwinds from high interest rates and constrained household budgets, while defensives underperformed in the risk-on environment. Industrials fell roughly 1.6% as transportation and capital goods stocks saw profit-taking.

US Markets
U.S. equities delivered robust gains, with the S&P 500 up 8.12%, the NASDAQ Composite +11.41%, and the Dow Jones Industrial Average +5.67%. Small-caps also rebounded, with the Russell 2000 Index up 12.39%. A mix of cooling inflation, steady earnings, and expectations for Fed rate cuts fueled optimism. The Federal Reserve's 25 bps September rate cut—the first in years—marked a policy shift that energized risk assets.
Mega-cap technology firms dominated performance. Tesla rose nearly 40%, Alphabet gained 38%, and the "Magnificent Seven" (including Apple, Microsoft, and NVIDIA) drove record highs. Value-oriented and defensive stocks lagged, while growth and AI-related names led.
S&P 500 Sectors
Top performers were Information Technology (+13%), Communication Services (+12%), and Consumer Discretionary (+9%), benefiting from AI momentum, cloud demand, and resilient consumer spending. Alphabet and Amazon—both in these sectors—helped lift results.
The weakest were Materials (+2.6%), Real Estate (+1.7%), and Consumer Staples (-2.9%). Materials struggled outside of precious metals, Real Estate faced valuation pressure from higher yields, and Consumer Staples declined as pricing power faded and investors rotated to growth sectors. Overall, cyclicals and growth stocks outpaced defensives.
International Developed Markets
Performance across developed EAFE markets was uneven. The strongest were Spain, Japan, and Austria. Spain's banking sector and improved political stability supported gains, while Japan's TOPIX Index rose about 11%, helped by a weaker yen and ongoing governance reforms. Austria benefited from industrial and financial strength.
The weakest were Norway, Germany, and Denmark. Norway's market was hurt by softer oil prices, Germany by manufacturing weakness and high energy costs (MSCI Germany –1%), and Denmark by sluggish pharma and logistics sectors. Overall, Japan's rally offset Europe's stagnation, leading the MSCI EAFE Index to a 4.8% gain.

Emerging Markets

Emerging markets outperformed developed peers, rising over 10% in local terms. Gains were led by China, Taiwan, and South Korea, while Brazil, Indonesia, and India lagged.
China's tech shares rebounded strongly, with the Hang Seng Tech Index up 22%, helped by policy support for chipmakers and an extension of the U.S.–China trade truce. Taiwan climbed 14% on semiconductor demand, and South Korea benefited from tech and export recovery.
Brazil and Indonesia were weighed down by lower commodity prices, while India paused after earlier strength, constrained by a weaker rupee and profit-taking. Overall, EM strength came from Asia's technology rebound and policy optimism, offsetting commodity weakness elsewhere.

Global Factors
Growth stocks outpaced value by 2.75 percentage points, with the MSCI World Growth Index up 8.58% versus 5.83% for Value. Growth benefited from lower yields and strong tech performance as investors rotated back into higher-duration equities. Excitement over AI and easing policy expectations drove growth leadership, while value-heavy sectors like financials and energy lagged. This quarter marked a reversal from 2022's value dominance as investors rewarded earnings visibility and innovation themes.

Bond Markets
Global bonds delivered mixed but generally positive returns. The Bloomberg Emerging Markets Aggregate Index led with +3.40%, as EM central banks' early rate cuts and tightening spreads boosted performance. The Bloomberg Global Aggregate ex-US Index fell 0.59%, hurt by a stronger U.S. dollar and rising yields in some foreign markets.
The Bloomberg Global Aggregate Index rose ~0.6%, supported by a late-quarter U.S. Treasury rally. Bonds initially benefited from growth concerns before yields edged higher in September. Overall, investors favored higher-yielding segments, with EM and corporate debt outperforming safe-haven government bonds.

Canada Bonds
Canadian fixed income produced positive results. The Bloomberg Canada Corporate Index gained 1.73%, outperforming the Canada High Yield Index at 0.46%. Investment-grade corporates benefited from stable spreads and modestly lower yields. Canada's smaller high-yield segment lagged due to investor caution and specific weaker credits. Overall, investment-grade corporates provided the best risk-adjusted returns, reflecting preference for quality carry amid steady conditions.
Returns were nearly identical across durations, as short-term and long-term bonds both returned around 1.1%. The yield curve experienced a parallel downward shift. Both 2-year and 30-year Government of Canada bond yields fell by similar amounts, producing uniform results across maturities. This symmetry aligns with the Bank of Canada's steady policy stance and market expectations for eventual rate cuts.

Canadian Rates
Government bond yields declined and the curve re-steepened. The 2-year yield fell from 2.59% to 2.47%, and the 10-year from 3.27% to 3.18%. The curve's positive slope signaled a normalization from prior inversion and reflected reduced recession fears. Markets now expect future easing from the Bank of Canada, contributing to modest bond price gains.
US Rates
U.S. yields also fell as the curve turned positive. The 2-year Treasury declined from 3.72% to 3.61%, and the 10-year from 4.23% to 4.15%. The Fed's September 25 bps rate cut—its first since the pandemic—marked a pivot to an easier stance, driven by softer employment data and moderating inflation. With PCE inflation below 3%, bond markets priced in further cuts into 2026. The normalization of the yield curve reflected growing confidence in a soft landing and an end to the tightening cycle.

Currencies
The Canadian dollar weakened 2.29% versus the U.S. dollar, which appreciated broadly on safe-haven flows and relative U.S. strength. The greenback outperformed against currencies like the Japanese yen and Indian rupee, both pressured by dovish or fragile domestic conditions. The yen fell to multi-decade lows under ultra-loose Bank of Japan policy, while the rupee slid amid trade deficits and outflows.
In contrast, high-yielding emerging market currencies like the Mexican peso and South African rand strengthened, supported by elevated policy rates and improving risk appetite. The New Zealand dollar also firmed, helped by the RBNZ's hawkish stance. Overall, U.S. dollar strength persisted, weighing on the CAD to roughly 74 U.S. cents.

Investment manager overview

The Aviso Investment Management team brings together top investment specialists and analysts, including four registered Portfolio Managers, eight CFA charter holders and more than 60 years of combined industry experience, to provide clients with a comprehensive range of professionally designed and managed financial products and solutions.

Investment philosophy

We adhere to a philosophy that encompasses the following principles:

1. Investment decisions are made in the best interests of our clients.
2. Investment decisions are made in accordance with the general level of risk appropriate for the specified mandate.
3. Investment decisions are made in accordance with defined prudent standards; and
4. Investment practices adhere to the principles of quality (or safety) of the investment and overall risk diversification.

Investment process and risk controls

The primary investment objective of the strategy is to generate a steady stream of high-quality income (in Canadian dollars) and to minimize trading cost. This strategy will follow a disciplined and systematic laddered investment strategy and will comprise only of high-quality bond holdings.

Credit Rating – the strategy will be invested in high quality bonds, with a credit rating minimum of S&P/Moody's/Fitch/DBRS credit rating of A-/A3/A-/A(low). Any of the holdings that are downgraded below this threshold will be sold and replaced with a similar maturing bond with the same intended characteristic.

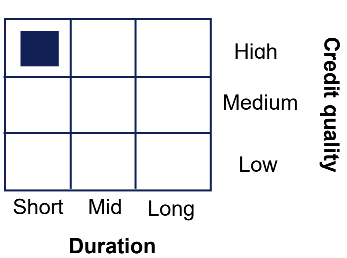
Maturity – the strategy will be constructed on a six-month ladder T + 5 year rolling basis.

Individual Security Holding Limits – the bond ladder is equally divided between all of the holdings; this will result in rolling consistent maturity interval; targeted size is 10% for each security.

Issuer – There are no issuer restrictions within the federal and provincial bond holdings provided that other criteria for ownership have been met; there can only be one corporate issuer per corporate bond holding within the portfolio at a given time.

Term limits – the maximum term to maturity at the time of purchase is 5.5 years; this will be the term of the last laddered issue, while providing a buffer if selection is limited.

Fixed income style[2]



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately $130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins

aviso wealth

[1] Income: To generate a steady stream of income.

[2] Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

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